

Parle Tilak Vidyalaya Association's  
**MULUND COLLEGE OF COMMERCE (Autonomous)**

F.Y. BBA Semester I

Examination of November 2023

**Subject: Introduction to Financial Accounts**

**Marks: 60**

**Date: 30/10/2023**

**Time: 2 Hour**

- Note:**
1. All Questions are compulsory.
  2. Use of simple calculator is allowed.
  3. Figures to the right indicate full marks.

Q.1 Journalise the following transactions in the books of Virat traders, open necessary ledger accounts and balance the accounts. (15)

|         |                                                                                                     |
|---------|-----------------------------------------------------------------------------------------------------|
| 2023    |                                                                                                     |
| March 1 | Virat started business with Cash Rs. 50,000, Cash at Bank of India Rs. 7,000, Furniture Rs. 10,000. |
| 3       | Purchased goods from Rohit worth Rs. 10,000 less 10% T.D.                                           |
| 7       | Sold goods to Sunil Rs. 5,000 less 5% T.D.                                                          |
| 10      | Deposited Cash with Bank of India Rs. 5,000.                                                        |
| 12      | Purchased Furniture from Varma on credit worth Rs. 20,000.                                          |
| 15      | Paid to Varma by net banking Rs. 8,000.                                                             |
| 17      | Paid Printing expenses Rs. 200.                                                                     |
| 20      | Received Commission Rs. 200.                                                                        |
| 25      | Withdrew Cash from Bank Rs. 1,000 by ATM                                                            |
| 28      | Paid to Varma Rs. 11,500 in full settlement of his account.                                         |
| 30      | Paid Advertisement bill Rs. 500                                                                     |

OR

Q.1 A) Write a note on different Accounting Conventions. (08)

B) What are the objectives of Accounting? (07)

Q.2 Record the following transactions in Cash Book of M/s Kamal Traders. Balance for the month of July 2023:  
Cash in hand Rs. 2,000 and balance in Bank Current account Rs. 8,000. (15)

|    |                                                                              |
|----|------------------------------------------------------------------------------|
| 03 | Cash sales Rs. 2,300                                                         |
| 05 | Purchased goods and amount paid by cheque Rs. 6,000                          |
| 08 | Cash sales Rs. 10,000                                                        |
| 12 | Paid General expenses Rs. 700                                                |
| 15 | Sold goods and amount received by Cheque and deposited in to Bank Rs. 20,000 |
| 18 | Purchased Motor Car paid by cheque Rs. 15,000                                |
| 20 | Cheque received from Mrunal deposited into Bank Rs. 10,000                   |
| 22 | Cash Sales Rs. 7,000                                                         |
| 25 | Mrunal's cheque returned dishonoured                                         |
| 28 | Paid Rent Rs. 2,000                                                          |
| 29 | Paid Telephone expenses by cheque Rs. 500                                    |
| 31 | Cash withdrawn from Bank for personal use Rs. 2,000                          |

Prepare two column Cash Book.

OR

Q.2 A) Mr. Manas gives you the following information and asks you to prepare Purchase Book and Sales book for the month of January 2023. (07)

|         |                                                                                                                            |
|---------|----------------------------------------------------------------------------------------------------------------------------|
| Jan. 01 | Purchased goods on credit from Dhanu Traders for Rs. 15,000 and sold the same to Kunal Traders at a profit of 25% on cost. |
| 05      | Placed an order with Sunetra for goods of Rs. 10,000 less 5% Trade discount.                                               |
| 08      | Purchased goods of Rs. 20,000 at 10% Trade Discount from Saurabha Traders.                                                 |
| 13      | Sold goods to Vinayak Stores Rs. 8,000 at 5% Trade Discount.                                                               |
| 18      | Sunetra executed our order placed on 5th Jan. 2023.                                                                        |

Q.2 B) The following trial balance as on 31<sup>st</sup> March 2023 was drawn from the books of Swati Traders (08)

| Particulars       | Debit balance (Rs.) | Credit balance (Rs.) |
|-------------------|---------------------|----------------------|
| Building          | 1,20,000            |                      |
| Machinery         | 34,000              |                      |
| Return outward    | 5,200               |                      |
| Bad debts         | 5,600               |                      |
| Cash              | 800                 |                      |
| Discount received | 6,000               |                      |
| Bank Overdraft    | 20,000              |                      |
| Creditors         | 1,00,000            |                      |
| Purchases         | 2,00,000            |                      |
| Capital           |                     | 1,47,200             |
| Fixtures          |                     | 11,200               |
| Sales             |                     | 2,08,000             |
| Debtors           |                     | 1,20,000             |
| Interest received |                     | 5,200                |
| Input CGST A/c    |                     | 6,000                |
| Input SGST A/c    |                     | 6,000                |
| Output CGST A/c   | 10,800              |                      |
| Output SGST A/c   | 10,800              |                      |
| Input IGST A/c    |                     | 9,600                |
|                   | <b>5,13,200</b>     | <b>5,13,200</b>      |

Even though the debit and credit sides agree, the trial balance contains certain errors. Check the accuracy of trial balance and prepare a corrected trial balance.

Q.3 State whether the following are Capital or Revenue & Expenditure or Receipt. Give reasons for the same. (15)

- Sold 8% Government securities (investment) for Rs.11,40,000.
- Preliminary expenses paid Rs.82,000.
- Carriage outward paid Rs.20,000.
- Custom duty paid on purchase of computer equipment Rs.85,000 to be used in the office.
- Received Rs.10,00,000 on the issue of 9% debentures.
- Legal expenses Rs.16,000 paid in connection with acquisition of land.
- Repairing charges Rs.15,000 paid for keeping the machinery in working condition.

OR

Q.3 A) On 1st April 2020 a firm purchased a Machinery for Rs.2,00,000. On 1st October in the same year new Machinery was purchased for Rs.1,00,000. (08)  
 On 1st October 2021, the Machinery Purchased on 1st April 2020 was sold for Rs.90,000. On 1st October 2022 additional new Machinery was purchased for Rs.2,50,000.  
 The firm provides depreciation on Machinery @ 10% under Written Down Value Method on 31st March every year. Show Machinery Account and Depreciation Account for 3 years ending up to 31st March 2023.

Q.3 B) From the following particulars prepare a Bank Reconciliation Statement for the year ending on 31st March 2023. (07)  
 1. Bank Balance as per Cash Book Rs.8,600.  
 2. Cheques of Rs.4,000 issued but not presented for payment.  
 3. Bank debited bank charges Rs.200.  
 4. Cheque of Rs.2,800 deposited into the Bank but not Credited by Bank.  
 5. Bank paid Insurance Premium on our behalf directly Rs.2,500 not recorded in the Cash Book.  
 6. Bank Credited interest on investment Rs.1,900 but not recorded in the Cash Book.

Q.4) Soham enterprises have the following Ledger Balances as on 31<sup>st</sup> March 2023. (15)

| Particulars              | Dr. (Rs.) | Cr. (Rs.) | Particulars               | Dr.(Rs.)         | Cr. (Rs.)        |
|--------------------------|-----------|-----------|---------------------------|------------------|------------------|
| Goodwill                 | 4,00,000  |           | Net Sales                 |                  | 44,00,000        |
| Factory Shed             | 80,000    |           | Miscellaneous Income      |                  | 16,000           |
| Machinery                | 5,20,000  |           | Bad Debts Reserve         |                  | 20,000           |
| Furniture                | 32,000    |           | Purchase of Materials     | 34,40,000        |                  |
| Investments              | 40,000    |           | Freight on Materials      | 2,00,000         |                  |
| Capital                  |           | 7,80,000  | Factory Power             | 60,000           |                  |
| Bank Loan                |           | 12,00,000 | <u>Salaries and Wages</u> |                  |                  |
| Creditors                |           | 6,00,000  | -Factory                  | 6,00,000         |                  |
| Debtors                  | 5,40,000  |           | -Office                   | 2,60,000         |                  |
| <u>Stock on 1-4-2022</u> |           |           | Repairs and Renewals      | 10,000           |                  |
| Materials                | 3,20,000  |           | Rent and Taxes            | 66,000           |                  |
| Work-in-Progress         | 30,000    |           | Insurance                 | 15,600           |                  |
| Finished Goods           | 3,30,000  |           | General Expenses          | 72,400           |                  |
|                          |           |           |                           | <b>70,16,000</b> | <b>70,16,000</b> |

The following additional information is available:

1. Closing stock: Materials Rs.8,40,000; Work in Progress Rs.50,000 and Finished Goods Rs.8,30,000.
2. Depreciation to be provided at 2 ½ % on Factory Shed, 10% on Machinery and 15% on Furniture.
3. Repairs and rent and taxes are to be apportioned between Factory and Office in the ratio of 3:2.
4. Reserve for bad and doubtful debts to be provided at 4% on debtors.
5. Insurance Premium paid in advance Rs. 1,300

**You are required to prepare Manufacturing, Trading and Profit and Loss Account for the year ended 31<sup>st</sup> March 2023 and Balance Sheet as on that date.**

OR

Q.4) Following is the Trial Balance of Integrated Electrons Ltd. as on 31<sup>st</sup> March, 2023.

(15)

| Particulars                            | Debit (Rs.)      | Credit (Rs.)     |
|----------------------------------------|------------------|------------------|
| Cash in Hand                           | 19,500           |                  |
| Cash at Bank                           | 34,300           |                  |
| Share Capital                          |                  | 9,20,000         |
| 9% Debentures                          |                  | 3,00,000         |
| Bank Overdraft (Union Bank)            |                  | 2,00,000         |
| Investments                            | 10,000           |                  |
| Bills Receivable – Trade               | 1,40,000         |                  |
| Sundry Debtors                         | 5,50,000         |                  |
| Sundry Creditors                       |                  | 2,40,000         |
| Security Deposit                       | 4,000            |                  |
| Profit and Loss A/c                    |                  | 2,90,000         |
| Securities Premium                     |                  | 90,000           |
| Interest on Debentures accrued and due |                  | 6,750            |
| Goodwill                               | 65,000           |                  |
| Land and Building (Cost Rs.2,50,000)   | 1,90,000         |                  |
| Plant and Machinery (Cost Rs.5,00,000) | 3,00,000         |                  |
| Furniture (Cost Rs.80,000)             | 45,000           |                  |
| Provision for Taxation                 |                  | 1,20,500         |
| Advance Tax                            | 1,00,000         |                  |
| Bills Payable                          |                  | 30,000           |
| General Reserve                        |                  | 1,10,000         |
| Stock in Trade                         | 8,49,450         |                  |
|                                        | <b>23,07,250</b> | <b>23,07,250</b> |

The following further particulars are available:

- The Authorised Share Capital of the company was Rs.30,00,000/- divided into 3,00,000 Equity Shares of Rs.10/- each.
- Sundry Debtors, which are all unsecured and considered good, include Rs.90,000 due for more than six months.
- Investments represent 2,500 Equity Shares in X Ltd. of Rs.10/- each, Rs.4/- per share called and paid up.

You are required to prepare:

**Balance Sheet of Integrated Electrons Ltd. as on 31<sup>st</sup> March, 2023 as per Schedule VI of the Companies Act, 1956.**

**Ignore previous year figures.**

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